



Market Monitor

No.13 – November 2013

www.amis-outlook.org

*The **Market Monitor** is a product of the Agricultural Market Information System (AMIS), a G20 initiative to provide information, analysis and short-term supply and demand forecasts. It covers the international markets for wheat, maize, rice and soybeans, giving a synopsis of major market developments and the policy and other market drivers behind them. The analysis is a collective assessment of the market situation and outlook by the ten international organizations that form the AMIS Secretariat. Ultimately, the report aims at improving market transparency and detecting emerging problems that might warrant the attention of policy makers.*

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WORLD TRADE
ORGANIZATION

World Supply-Demand Outlook

Bumper crops in several major producing countries boost global production to record levels and are expected to lead the way to much higher world stocks by the end of seasons in 2014. International prices of all AMIS crops remain well below the previous year's levels although wheat values rose in October, to their highest levels since June, largely on some crop prospect concerns in Argentina and the Black Sea Region.

	From previous month f'cast	From previous season
Wheat	▲	▲
Maize	▲	▲
Rice	▼	▲
Soybeans	▲	▲
	▲ Easing	■ Neutral ▼ Tightening

	million tonnes						
	USDA*		IGC		FAO-AMIS		
	2012/13 est.	2013/14 f'cast 12-Sep	2012/13 est.	2013/14 f'cast 31-Oct	2012/13 est.	2013/14 f'cast 3-Oct	2013/14 f'cast 7-Nov
WHEAT							
Production	655	709	655	696	660	705	708
Supply	855	883	849	871	840	861	865
Utilization	681	706	673	690	686	695	696
Trade	138	155	141	142	139	141	142
Ending Stocks	174	176	175	182	156	163	167

- **Wheat** production forecast for 2013 raised 3 million tonnes, reflecting a much larger crop in Canada.
- Utilization for 2013/14 raised, mostly on expectation of faster growth in food consumption in India.
- Trade to expand by almost 2% from 2012/13, driven by higher imports in Asia, mostly by China.
- Stocks (ending in 2014) higher than forecast in October on larger inventories in Canada and Russia.

	million tonnes						
	USDA*		IGC		FAO-AMIS		
	2012/13 est.	2013/14 f'cast 12-Sep	2012/13 est.	2013/14 f'cast 31-Oct	2012/13 est.	2013/14 f'cast 3-Oct	2013/14 f'cast 7-Nov
MAIZE							
Production	860	957	863	948	876	987	994
Supply	992	1079	994	1074	1011	1116	1123
Utilization	869	928	868	922	886	936	937
Trade	94	103	96	102	101	104	103
Ending Stocks	123	151	126	152	129	173	177

- **Maize** production forecast for 2013 raised 7 million tonnes, reflecting larger crops in China, Ukraine and the US.
- Utilization in 2013/14 to expand more than forecast last month due to expectation of stronger demand for feed.
- Trade to expand by nearly 2% from 2012/13, driven by higher import demand in China.
- Stocks (ending in 2014) higher than projected in October following upward adjustments in Canada, the EU and the US.

	million tonnes						
	USDA*		IGC		FAO-AMIS		
	2012/13 est.	2013/14 f'cast 12-Sep	2012/13 est.	2013/14 f'cast 31-Oct	2012/13 est.	2013/14 f'cast 3-Oct	2013/14 f'cast 7-Nov
RICE							
Production	469	477	469	474	490	496	494
Supply	574	582	576	582	651	671	669
Utilization	469	475	468	472	477	488	489
Trade	38	39	37	38	38	38	37
Ending Stocks	105	107	108	109	175	183	180

- **Rice** production in 2013 lowered amid deteriorating prospects in India.
- Utilization in 2013/14 set to increase by 2.6%, driven by increasing food consumption.
- Trade in 2014 revised downward on reduced exports by Vietnam and diminished imports by Indonesia, Malaysia, Nigeria and the Philippines.
- Stocks (ending in 2014) cut, but still expected to end 3% above 2013 level.

	million tonnes						
	USDA*		IGC		FAO-AMIS		
	2012/13 est.	2013/14 f'cast 12-Sep	2012/13 est.	2013/14 f'cast 31-Oct	2012/13 est.	2013/14 f'cast 3-Oct	2013/14 f'cast 7-Nov
SOYBEANS							
Production	267	282	271	282	267	281	282
Supply	322	343	294	308	293	306	308
Utilization	258	269	268	279	268	277	277
Trade	98	107	97	107	98	105	108
Ending Stocks	62	72	26	29	26	29	31

- **Soybeans** 2013/14 production forecast up from last month as higher estimates for Brazil more than offset downward corrections in India.
- Utilization expected to expand by 3 % in 2013/14, with Asia and South America driving most of the growth.
- Trade forecast raised further due to higher sales estimates for Brazil.
- Stocks forecast (2013/14 carry-out) raised, mainly reflecting upward revisions for Brazil.

*As the last USDA WASDE report was released in September 2013 the USDA balance has not been updated.

All totals (world estimates and forecasts) shown are computed from unrounded data. All changes, in absolute or percentage terms, are also calculated based on unrounded figures and accordingly reported in the supply/demand commentaries. Analysis presented in this report is largely based on information as of late October 2013. Explanatory notes and list of sources are available at the end of the report.

Crop Monitor*

Crop Monitor is developed for AMIS by GEOGLAM. It summarizes latest conditions (as of 28 October) for AMIS crops based on regional expertise and analysis of satellite data, ground observations, and meteorological data.*

Wheat: In the Northern Hemisphere spring wheat harvest is mostly complete and winter wheat planting is well underway. In **Canada** and **Kazakhstan**, spring wheat prospects are average to above average but in **Russia**, spring wheat production is below average due mainly to low yields and harvest problems in the Volga Valley. In the Southern Hemisphere wheat prospects are variable. In **Australia**, harvest has commenced in major producing states earlier than average. Yield prospects vary across the country because of highly variable rainfall conditions during the season. Persistent dryness in the northeastern wheat growing areas have resulted in below average yields. Overall yield prospects are average to above average in the western, southern and southeastern wheat growing regions. In **Argentina**, overall conditions are average and wheat is mostly in tillering and flowering stages. Despite some recent scattered showers, water stress continues in parts of the main growing regions and additional rain is needed. In **South Africa**, wheat prospects are good owing to above-average rain over winter growing areas.

Maize: General conditions are good. In the **US**, harvest is over 75 % complete. Despite less than ideal conditions in mid summer, ratings have improved relative to last month and a record production is likely, largely due to increased planted area. In **Canada**, conditions are favourable and yields are expected to be average to above average. In the **EU** harvest is in full swing or already complete. Mean EU yield forecasts are close to the 5-year average, with above-normal prospects in Spain, Portugal, Bulgaria and Romania, and below-average yields in northern Italy and Hungary. In **Russia**, **Ukraine** and **India**, prospects are good. In **China**, prospects are good and a bumper crop is expected owing to increases in both area and yield. Despite an earlier than normal freeze across the northeastern growing regions the crop was not significantly affected. In **Mexico**, overall conditions are good largely owing to atypical precipitation from multiple hurricanes, particularly in normally dry regions; however there is some concern over flooding in the south. In **Argentina**, planting of the first crop has initiated and additional rain is needed to replenish soil moisture. In **Brazil**, the first crop planting has started. It is expected that planting area will be slightly reduced in favour of soybeans.

Rice: Overall conditions are favourable. The monsoon season in **South** and **Southeast Asia** maintained good to somewhat excessive moisture across most of the region. In **Pakistan**, **India** and **Bangladesh**, prospects are good, although a tropical cyclone may have caused localized damage in eastern India and in Bangladesh. Mostly favourable conditions were maintained in **Indonesia** and **Japan**. In the **Philippines** and **Thailand**, prospects are good though there is some concern over excess moisture and damage due to tropical storms mainly affecting northern and central growing regions in Thailand and northern Philippines. In **Vietnam**, harvest is near complete for the summer season and yields are expected to be slightly lower than last year due to unfavourable weather. Autumn planted rice conditions are average. In **China**, rainfall improved prospects in the southern major rice producing regions, which contributed to increased yields of single season rice. Favourable moisture conditions are benefiting late season rice development and grain filling, but the late season rice conditions are still below last year's.

Soybeans: General conditions are favourable. In the **US**, the majority of the crop has been harvested and conditions improved since September. Prospects are good though a record is not expected. In **China**, harvest is complete and prospects are generally favorable. In **India**, harvest is in progress and there is some concern due to excessive precipitation. In **Brazil**, soy planting is in progress and beneficial rains provided moisture for the emerging crops. Planted area is expected to increase this season largely at the expense of corn area. In **Argentina**, scattered showers brought some relief but additional rain is needed particularly in southern growing regions where planting is delayed due to dryness.

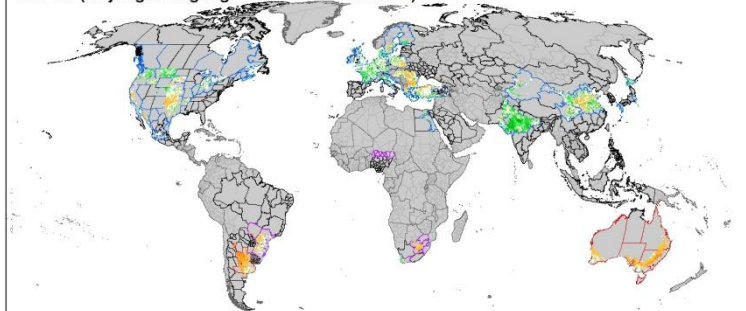
* GEOGLAM aims at strengthening global agricultural monitoring by improving the use of satellite information for crop production forecasting. It is implemented within the framework of the inter-ministerial Group on Earth Observations (GEO). Both GEOGLAM and AMIS were endorsed by the G20 Heads of States Declaration (Cannes, November 2011) when GEOGLAM was tasked to "coordinate satellite monitoring observation systems in different regions of the world in order to enhance crop production projections and weather forecasting data." Within this framework, GEOGLAM is providing global crop outlook assessments in support of AMIS market monitoring activities. More detailed information on the GEOGLAM crop assessments is available on: www.geoglam-crop-monitor.org

Satellite-Based Vegetative Growth Anomalies Based on Normalized Difference Vegetation Index (NDVI)

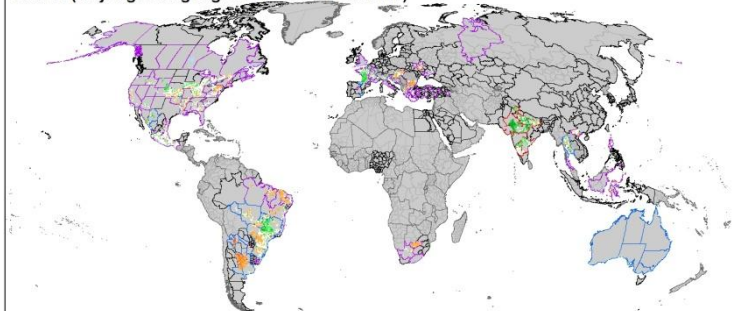
NDVI is an indicator of photosynthesis often used for monitoring croplands. These anomaly images compare the NDVI for October 28th, 2013 to the average NDVI for the same date from 2000-2012, over the main growing regions of the four AMIS crops. Orange to red indicates less green vegetation than average, green indicates higher than average vegetation. Administrative unit outline colours indicate crop growth stage: **Blue = Planting to early vegetative**, **Red = Vegetative to reproductive** (generally the most sensitive crop growth period), **Purple = Reproductive to maturity**, **Black = Areas out of season**. Note: only AMIS countries are highlighted.



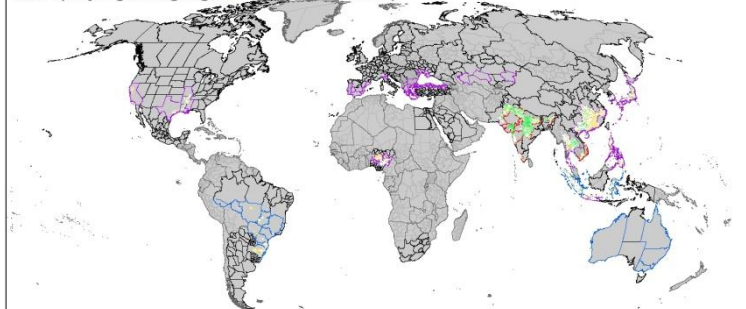
WHEAT (major growing regions in AMIS Countries)



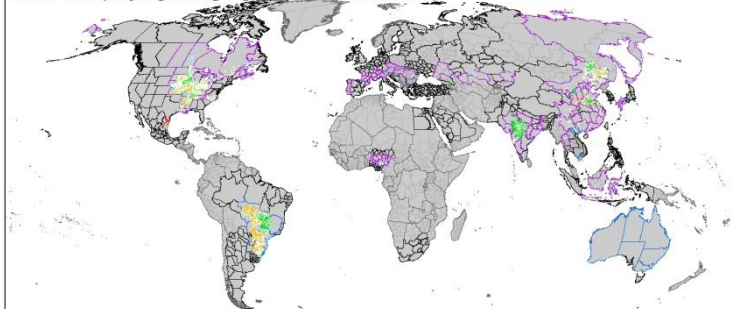
MAIZE (major growing regions in AMIS Countries)



RICE (major growing regions in AMIS Countries)



SOYBEAN (major growing regions in AMIS Countries)



Legend



Sources & Disclaimer

The Crop Monitor assessment has been conducted by GEOGLAM with inputs from the following partners (in alphabetical order): AAFC (Canada), CAS CropWatch (China), ARC (South Africa), ABARES/DA/CSIRO (Australia), CONAB/INPE (Brazil), GISTDA (Thailand), EC JRC-MARS, FAO, ISRO (India), JAXA (Japan), ASIA RiCE, IKI (Russia), INTA (Argentina), IRRI, LAPAN/MOA (Indonesia), Mexico (SiAP), NASA, UMD, and USDA FAS/ USDA NASS (US), Ukraine Hydromet Center/NASU-NSAU (Ukraine), VAST/VIMHE (Vietnam).

The findings and conclusions found in this joint multiple-agency reporting are only consensual statements from the GEOGLAM expert group, and do not necessarily reflect those of the individual Agencies represented by these experts.

Map data sources: Main crop type areas based on the IFPRI/IIASA SPAM 2005 beta release (2013). Crop calendars based on FAO and USDA crop calendars. NDVI anomaly data produced by NASA/USDA/UMD based on NASA MODIS data.

International Prices

International Grains Council (IGC) Grains and Oilseeds Index (GOI) - October 2013

	October 2013 Average*	% Change	
		M/M	Y/Y
GOI	257	- 0.8%	- 16.3%
Wheat	245	+ 5.5%	- 15.5%
Maize	215	- 2.5%	- 29.5%
Rice	183	- 1.2%	- 16.1%
Soybeans	276	- 3.3%	- 12.0%

*Jan 2000=100, derived from daily export quotations

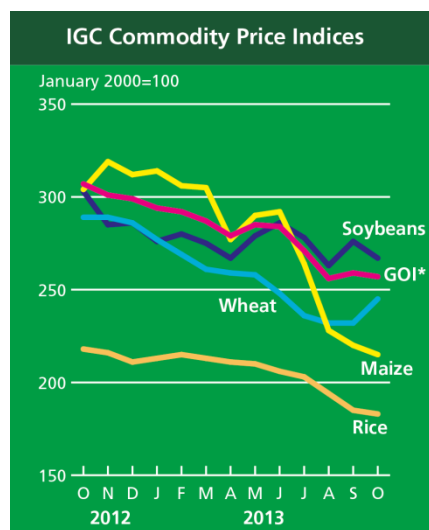
The **IGC daily Grains and Oilseeds Index (GOI)** averaged slightly lower in October as gains in wheat were more than offset by declines for maize, rice and soybeans. Overall the index was down 16% Y/Y, led by a 30% fall in maize.

Wheat: World wheat export prices mostly posted strong gains during October, led by concerns about crop prospects in Argentina and the Black Sea region. The outlook for export demand was also supportive, with reports of buying interest from China and Brazil. Overall, the average IGC GOI wheat sub-Index increased by 6% M/M, to its highest level since late June.

Maize: The IGC GOI maize sub-Index averaged 3% lower M/M, but moved in a relatively tight range, and there were marked regional differences. US prices declined on a good supply outlook and better than expected yields, although overall losses were limited by strengthening export demand, including from China and tight pipeline availabilities at the Gulf. Meanwhile, export prices in the Black Sea gained on rain-related harvest delays and tight logistics.

Rice: The IGC GOI rice sub-Index was down 1% over the month, although markets were again mixed across the major origins. While good export demand and weather-related crop worries underpinned values in Vietnam, Thailand's white rice market fell further on limited buying interest and pressure from heavy intervention reserves.

Soybeans: The IGC GOI soyabean sub-Index was 3% lower M/M on average in October. Reports of good harvest progress and better than anticipated yields in the US led to declines. Improved planting weather in South America recently added to downward pressure, although this was offset to an extent by strong export demand, particularly from China, robust demand for soybean products, and the still overly dry conditions for crop development in parts of Argentina.



		IGC commodity price indices				
		GOI*	Wheat	Maize	Rice	Soybeans
		(..... January 2000 = 100)				
2012	October	307.3	289.3	304.3	217.9	303.3
	November	300.6	289.3	318.9	216.3	284.7
	December	298.7	285.6	312.2	211.1	286.1
2013	January	293.6	277.4	313.8	212.6	276.1
	February	292.1	268.6	305.8	214.6	279.6
	March	287.1	261.3	304.8	212.8	274.9
	April	278.6	258.8	277.1	211.4	267.4
	May	285.1	258.3	289.6	210.1	278.9
	June	284.4	248.0	292.3	206.3	286.2
	July	271.3	236.0	264.3	202.7	277.9
	August	256.0	232.3	228.0	193.8	262.9
	September	259.2	231.8	220.1	185.1	275.9
	October	257.2	244.5	214.5	182.9	266.9

*GOI: Grains and Oilseeds Index

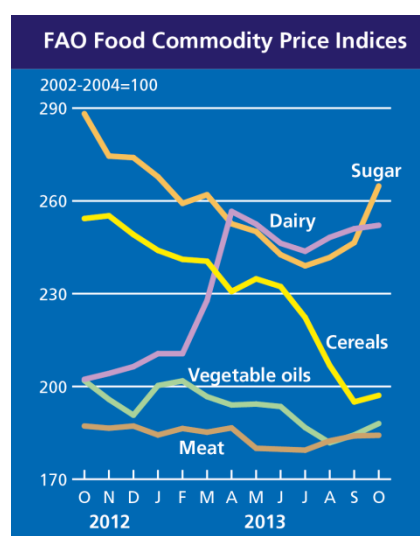
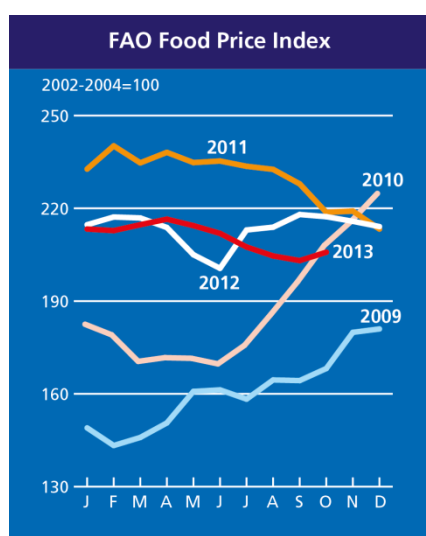
Selected Export Prices and Price Indices

Daily quotations of selected export prices (USD/tonne, 2011-2013)



Daily quotations of selected export prices

	Effective Date	Quotation (1)	Week ago (2)	Month ago (3)	Year ago (4)	% change (1) over (2)	% change (1) over (4)
(..... USD/tonne)							
Wheat (US No. 2, HRW)	04-Nov	324	331	332	378	-2.1%	-14.3%
Maize (US No. 2, Yellow)	05-Nov	198	201	Not available	316	-1.4%	-37.2%
Rice (Thai 100% B)	05-Nov	418	418	423	560	0.0%	-25.4%
Soybeans (US No. 2, Yellow)	04-Nov	512	515	520	586	-0.5%	-12.6%



FAO food price indices

		Food Price Index	Meat	Dairy	Cereals	Oils and Fats	Sugar
		(..... 2002-2004 = 100)					
2012	September	218.0	184.5	196.9	255.4	221.4	283.7
	October	217.3	187.2	202.3	254.3	201.9	288.2
	November	215.8	186.5	204.2	255.2	195.8	274.5
	December	214.1	187.2	206.4	249.1	190.7	274.0
2013	January	213.3	184.3	210.6	244.0	200.3	267.8
	February	212.8	186.4	210.6	241.1	201.8	259.2
	March	214.7	185.2	227.8	240.5	196.7	262.0
	April	216.5	186.6	256.6	230.7	194.0	252.6
	May	214.4	180.0	252.5	234.8	194.3	250.1
	June	211.9	179.7	246.3	232.3	193.5	242.6
	July	207.5	179.4	243.7	222.3	186.7	239.0
	August	204.6	182.4	248.2	206.8	181.8	241.7
	September	203.1	184.0	251.0	195.0	184.3	246.5
	October	205.8	184.2	252.1	197.1	188.0	264.8

Policy Developments

- Market intervention prices were raised in several countries. **China's** National Development and Reform Commission (NDRC) announced an 8% increase of the minimum procurement price for indica rice to USD 436 per tonne. A 7% rise will apply to middle and late japonica rice USD 484 per tonne. As in previous years, the policy will be applied in China's 11 major rice producing provinces and regions. NDRC also announced the minimum price for the 2014 harvest of wheat to encourage farmers to plant the winter wheat crop. The wheat support price is increased by 5% to USD 381 per tonne. This price will be in effect in major wheat-producing provinces. China's minimum price schemes for rice and wheat guarantee that the government would buy grain from farmers at state-set prices should market prices fall below them. In 2013/14, farmers in **India's** Tamil Nadu will receive top ups (USD 8 per tonne and USD 11 per tonne) to the minimum support price (USD 210 per tonne and USD 216 per tonne) for common paddy and Grade A respectively. A 4% rise in the minimum support price for the 2014 harvest of wheat in India was announced to USD 226 per tonne.
- In **Thailand**, the 2013/14 rice support programme (rice-pledging scheme) started on 1 October. It will pay farmers USD 466 per tonne for white rice and USD 621 for Jasmine rice. The programme is capped at USD 10 866 per farming household for the main-crop production. A USD 4.5 billion loan will be taken to fund this programme.
- Governments purchased grains on domestic markets for food subsidies or stockholding purposes. In **Egypt**, the government's food subsidy scheme purchased milled rice through domestic tenders. **Russia** purchased wheat through intervention to replenish stocks.
- Trade relaxing measures were taken in **Indonesia** where import permits, quotas and registered importer rules applying to soybean trade have been relaxed. Within the framework of their Food Staples Self Sufficiency Programme (2011-2016), **the Philippines** will apply their minimum access volume of 350 000 tonnes to rice imports.
- In **Vietnam** the wheat minimum export prices for 25 % broken rice was increased by 4 % to USD 375 with immediate effect.

Futures Markets

Futures Prices

	October 2013 Average	% Change	
		M/M	Y/Y
Wheat	253	6.4%	-20.5%
Maize	173	-6.0%	-41.5%
Rice	335	-2.3%	+1.2%
Soybeans	473	-6.2%	-16.4%

Source: CME

Historical Volatility – 30 Days

	Monthly Averages		
	October 2013	September 2013	October 2012
Wheat (Nearby)	16.0%	18.1%	20.8%
Maize (Dec)	19.8%	36.7%	20.9%
Rice (Nearby)	21.6%	27.3%	20.4%
Soybeans (Nov)	19.9%	28.2%	20.3%

Prices

The US maize, soybeans and rice futures continued to drift lower as expectations of higher than anticipated harvested yields materialized. Maize was 59% harvested while soybeans was 77%, with rice harvest near completion as of October 28, according to the USDA*. By contrast, the wheat market strengthened steadily on potential strong demand and early month concerns over harvesting in Argentina. Elsewhere, in the Black Sea region, wheat sowings are thought to be lower than first projected. However, India presents a countervailing trend as it tries to sell wheat from its excess reserves, following two consecutive years of bumper crops.

Volumes

Volumes increased from last month, particularly for soybeans, possibly due to harvest activity.

Volatility

Historical volatility declined to around a range of 20% for all 4 commodities while implied volatility, which is derived from options pricing, showed a modest increase after making a short-term low in early October.

Forward curves

Forward curves have shown little change M/M. Maize and wheat exhibit normal carry or contango configurations, while soybeans are backwardated, even as the November delivery period commences. Lack of producer selling and strong basis bids by processors are keeping the front months at premiums to back months.

Investment Flows

After a year of maintaining a net short position in wheat, managed money switched to a net long position during the first week of October, partially contributing to wheat's price strength. Managed money remained largely unchanged in its maize net short position and reduced slightly its net long in soybeans. Index fund activity remained subdued.

*As of November 4th USDA Crop Progress Report, maize was 71 % harvested and soybeans 85% was harvested.

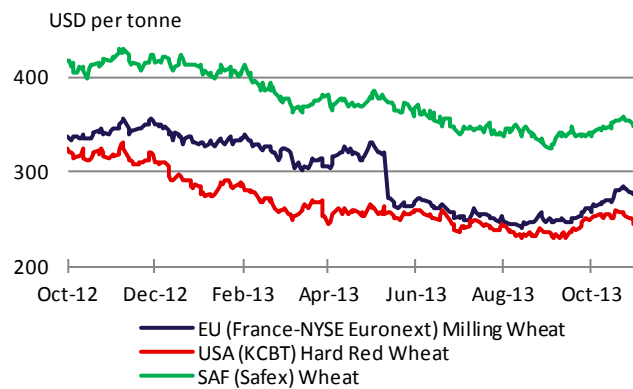
For more information on technical terms please view the Glossary at the following link:

http://www.amis-outlook.org/fileadmin/user_upload/amis/docs/Market_monitor/Glossary.pdf

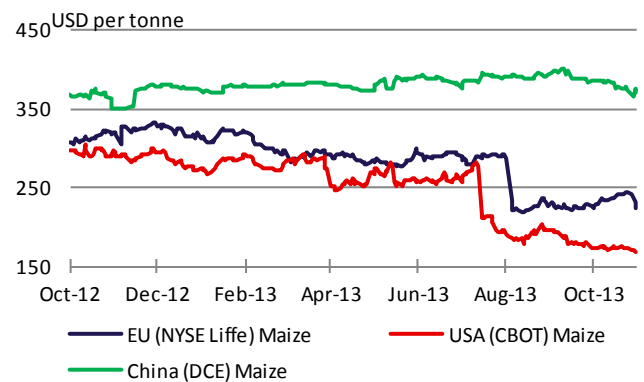
Market Indicators

Daily Quotations from Leading Exchanges - nearby futures

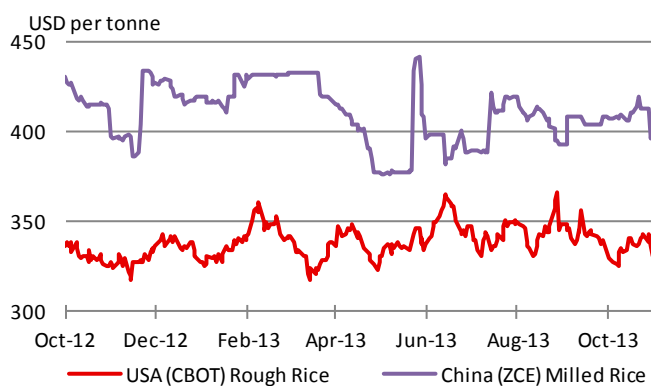
Wheat



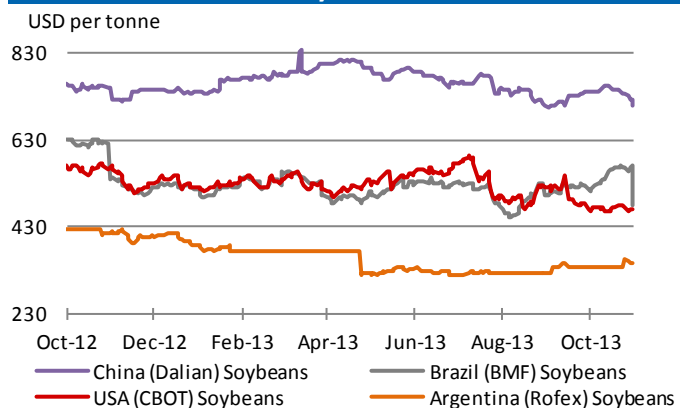
Maize



Rice

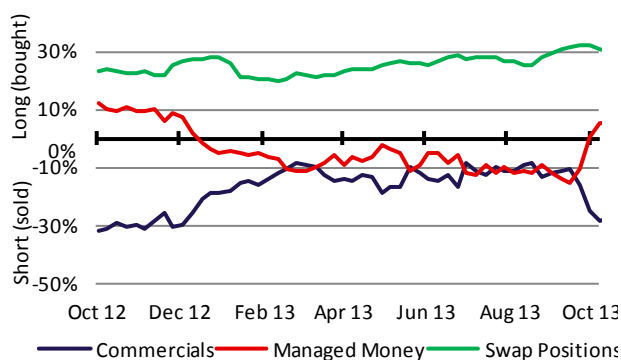


Soybeans

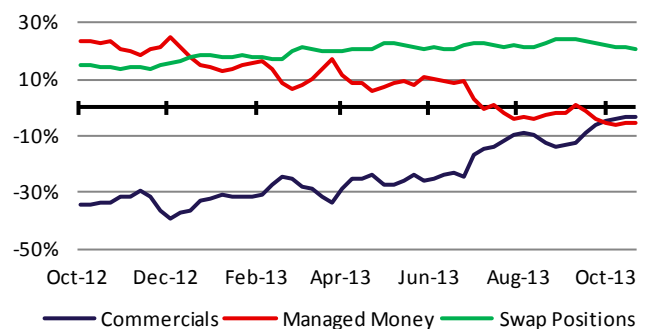


CFTC Commitment of Traders - Major Categories Net Length as % of Open Interest**

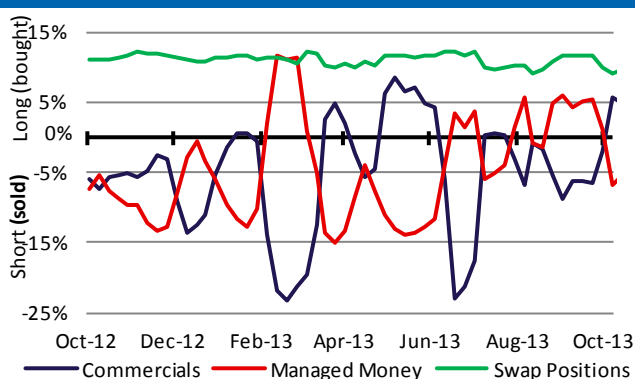
Wheat



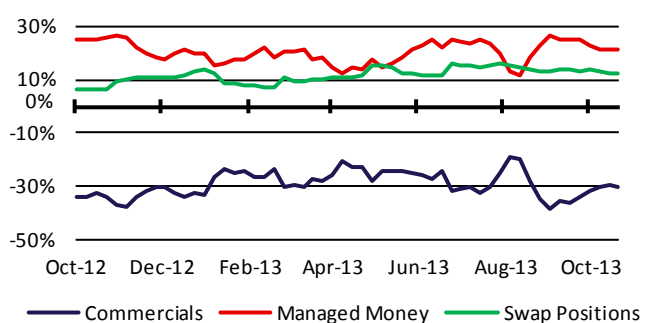
Maize



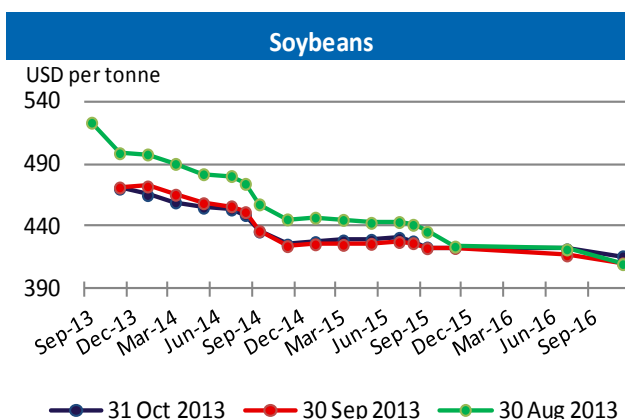
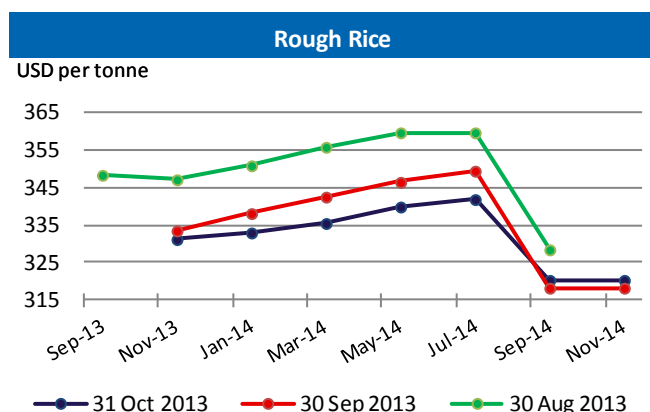
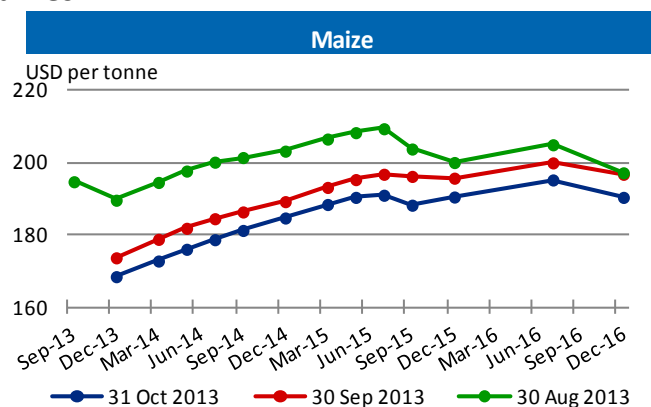
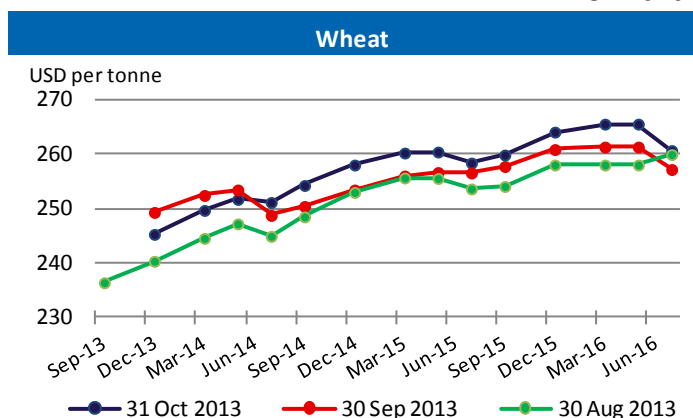
Rough Rice



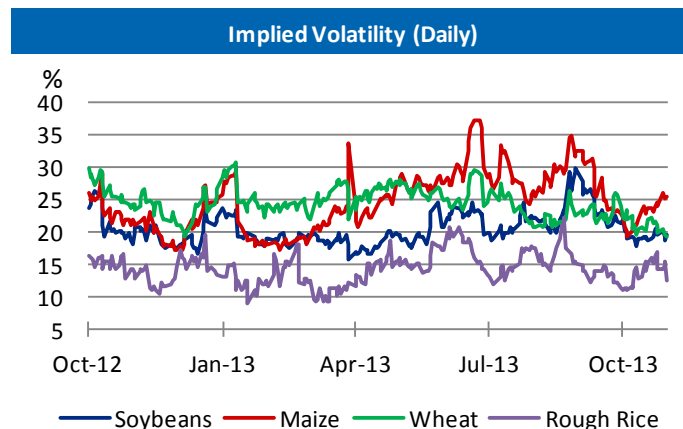
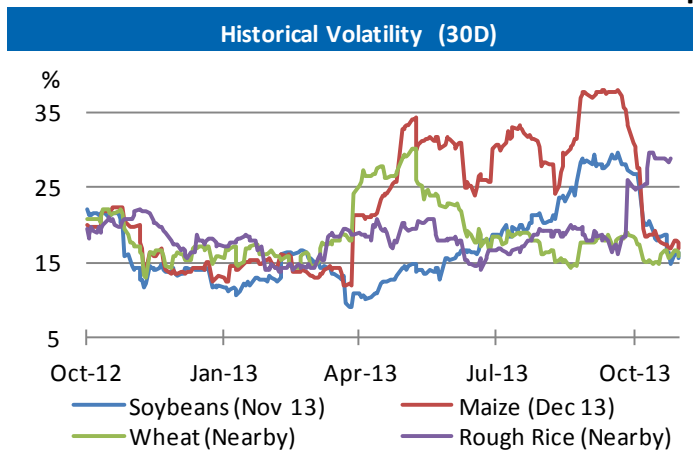
Soybeans



Forward Curves



Historical and Implied Volatilities



AMIS Market Indicators

Some of the indicators covered in this report are updated regularly on the AMIS website. These, as well as other market indicators can be found at:

<http://www.amis-outlook.org/amis-monitoring/indicators/>

Explanatory Notes and Calendar

The notions of **tightening** and **easing** used in the summary table of “**World Supply and Demand**” reflect judgmental views which take into account market fundamentals, inter-alia price developments and short-term trends in demand and supply, especially changes in stocks.

All totals (aggregates) are computed from unrounded data. World supply and demand estimates/forecasts published in this report are based on the latest data published by USDA, IGC and FAO. They may vary for many reasons, but mainly because of different methodologies and release dates.

FAO-AMIS: World estimates and forecasts are based on information received from AMIS countries as well as FAO data.

Dates: Refer to the release date of the data from the selected sources: FAO, IGC, and USDA.

Production: Cereal production data refer to the calendar year of the first year shown. Rice production is expressed in milled terms. Soybeans production data refer to the split (i.e. 2013/14) season.

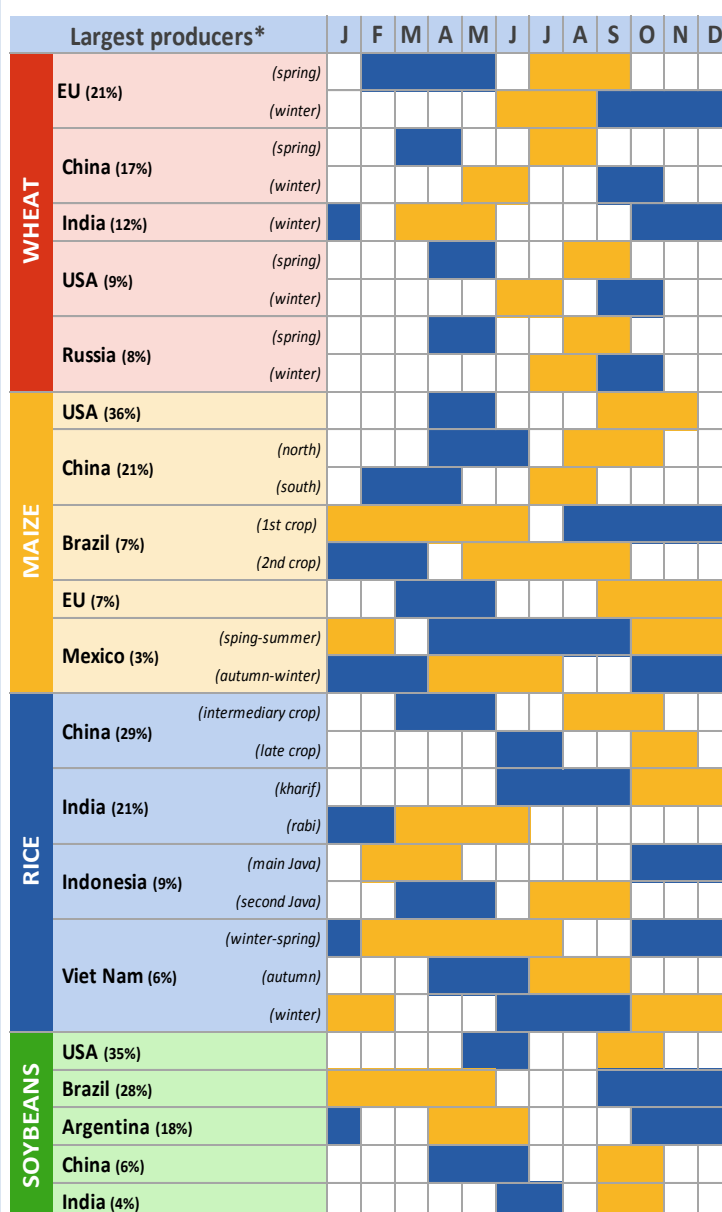
Supply: Defined as production plus opening stocks.

Utilization: For wheat, maize and rice utilization includes food, feed and other uses (“other uses” comprise seeds, industrial utilization and post-harvest losses). For soybeans, it comprises crush, food and other uses.

Trade: Data refer to exports. For wheat and maize, trade is reported on a July/June marketing year basis, except for the USDA maize trade estimates, which are reported on an October/September basis. For rice, trade covers flows from January to December of the second year shown and for soybeans from October to September. Trade between European Union member states is excluded.

Ending Stocks: Data is calculated as the aggregate of carry-overs at the close of national crop seasons ending in the year shown.

AMIS Crop Calendar



* The percentages refer to the global share of production (average 2008-12).

Planting Harvesting

Main sources

Bloomberg, CFTC, CME Group, FAO, GEOGLAM, Inter-Continental Exchange, IGC, USDA, US Federal Reserve, World Bank

2013 Release Dates

07 February, 07 March, 11 April, 09 May, 06 June, 04 July, 05 September, 03 October, 07 November, 05 December

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